

GB Battery Storage Market Study 2026

Revenue outlook and implications for Fenwick

Liam McAllister · 22 May 2026

1. Key messages

- Operational GB battery fleet has grown quickly; more than 5 GW is under construction or contracted.
- Frequency response prices (Dynamic Containment) have fallen as supply exceeded the system operator's requirement.
- Revenue is shifting to wholesale arbitrage and the Balancing Mechanism – 2-hour assets benefit most.
- Capacity market provides a stable floor; 15-year agreements are available for new build.
- Grid connection queue reform favours projects with land rights and planning progress.

2. Revenue outlook (2-hour BESS, EUR k/MW/a, nominal)

Year	Low	Base	High
2027	88	118	146
2029	97	141	170
2032	102	149	181
2035	104	152	186

The base case is the average of two independent forecasters, used one-to-one in the Fenwick revenue stack.

3. Competitive landscape

The market is crowded with developers holding grid positions; the scarce resource is a firm connection date before 2030. Fenwick's competent application (accepted 12 August 2026) is a relative advantage.

4. Implications

- Continue Fenwick; prepare a second BESS (Oakhurst or Brayton Moor) only after the Fenwick grid offer.
- Design for 2-hour duration with space for a later extension to 3 hours.
- Grid-forming capability as a low-cost option on future revenues.